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**UNITED STATES BANKRUPTCY COURT**

**DISTRICT OF NEW JERSEY**

Caption in Compliance with D.N.J. LBR 9004-1

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| In re:<br>David Cushing,<br>Debtor. | Case No.: 25-22945<br>Chapter 13<br>Judge: Hon. Andrew B. Altenburg, Jr.<br>Hearing Date: May 12, 2026, at 2:00 p.m. |
| David Cushing,<br>Plaintiff,<br>v.<br>Lakeview Loan Servicing, LLC,<br>Defendant. | Adv. Pro. No. 26-01099-ABA |

**Combined Response to Plaintiff's Motion for Default Judgment (Docket Entry 4) and Defendant's Motion to Dismiss Adversary Complaint with Prejudice**

Defendant LAKEVIEW LOAN SERVICING, LLC (hereinafter "Defendant" or "Secured Creditor") respectfully submits this combined pleading as both a Response in Opposition to the Motion for Default Judgment filed by Plaintiff on April 13, 2026 (docket entry 4), and as a Motion to Dismiss the underlying adversary complaint (docket entry 1) for failure to state a cause of action.

## PRELIMINARY STATEMENT

The loan underlying this debt is represented in Proof of Claim (POC) 8-1, as filed in the main case on February 11, 2026. That claim was filed on behalf of Lakeview Loan Servicing, LLC, with Rocket Mortgage, LLC identified as servicer. The noticing address in the POC is Rocket Mortgage, LLC, Attn: Bankruptcy Dept, P.O. Box 61906, Dallas, TX 75261-9741.

The first deficiency the Court should note is the adversary complaint was served on neither Lakeview Loan Servicing as the owner of the mortgage debt, nor on Rocket Mortgage at the correct P.O Box. The certificate of service indicates it was served on Nationstar Mortgage, LLC at P.O. Box 61904, Dallas, TX 75261-9094. This is not the proper service address for either Lakeview Loan Servicing or its servicer Rocket Mortgage, LLC. Without proper service of the underlying complaint, the Plaintiff's Motion for Default Judgment should be denied.

## STATEMENT OF FACTS

As shown in the loan documents included in the POC, the loan which underlies this matter originated on December 22, 2016. Plaintiff borrowed $171,731 from Greentree Mortgage Company, LP on that date for the purchase of the real property located at 1734 Almond Rd., Vineland, New Jersey. Plaintiff signed a Promissory Note (attached to the POC) memorializing that loan agreement. Concurrent with obtaining this purchase money loan, Plaintiff gave to MERS as nominee for Greentree Mortgage Company, LP a mortgage lien interest to secure repayment of the underlying debt. That Mortgage signed by the Plaintiff was duly recorded on January 16, 2017 with the Cumberland County Clerk's Office at Instrument Number 523035 (attached to the POC).

The Plaintiff does not dispute that he entered into both of these transactions (the Note and the Mortgage) to enable him to purchase the subject real property. Indeed, in paragraph 15 of the complaint Plaintiff appears to concede that he in fact owes somebody repayment of this debt. Presumably he is not disputing the amount of the debt asserted in the POC, as he has not filed any objection to that POC in the main case. Under 11 U.S.C. Section 502 the claim should be deemed allowed as filed, and must be addressed for payment in the Chapter 13 Plan or the collateral surrendered.

The essence of the allegations in the complaint is the Plaintiff is challenging the standing of the claimant Lakeview Loan Servicing, LLC to enforce the Note and duly perfected Mortgage interest. But every argument or challenge raised by the Plaintiff is either facially untrue as a matter of fact, or relies on a misconception of the law as to what a party needs to demonstrate to assert the right to enforce a Promissory Note and Mortgage.

New Jersey has adopted the Uniform Commercial Code in NJSA Title 12A. Promissory Note is a negotiable instrument under section 12A:3-104. The Note bears an indorsement in blank. Under 12A:1-201(21)(a) Defendant is a holder. Under 12A;3-301 Defendant is entitled to enforce the Note as a holder in possession of the Note indorsed in blank.

The duly perfected Mortgage originally given to MERS as nominee for Greentree was assigned of record to Freedom Mortgage Corporation on December 29, 2021, duly recorded that same date (Ex A), then to Nationstar Mortgage on February 9, 2022, recorded that same date (Ex B), and finally to Lakeview Loan Servicing, LLC on April 7, 2022, recorded that same date (Ex C). Plaintiff does not dispute the existence of any these assignments of mortgage (AOMs). Indeed, in paragraph 11 he concedes that these are all of public record. The Plaintiff’s challenge to these assignments of the right to enforce the duly recorded and

perfected security interest appears to be questioning the validity of the signatures of representatives of the entities assigning the interest. But under 12A:3-308 both the authenticity and the authority of the signatures is presumed to be valid, unless the challenge is being asserted by a party seeking to enforce liability against the purported signer. That is not the case here, as Plaintiff is not and never was a party entitled to enforce the Mortgage – he is instead the original Mortgagor, and as such he has no standing to challenge the validity of the signatures in any subsequent AOM.

Further, and most damning to Plaintiff's case, the Superior Court of New Jersey Chancery Division, Cumberland County, in case number F-009304-22 entered a judgment in foreclosure on May 24, 2023 expressly finding that Defendant is in fact entitled under New Jersey law to enforce the Note and the Mortgage lien. To the extent that Debtor seeks to challenge standing, he should have done so in the foreclosure proceedings. Because standing was established in the foreclosure, Debtor's claims are barred by the Rooker-Feldman Abstention Doctrine, the Colorado River Doctrine, the Younger Doctrine, the entire controversy doctrine, and the doctrine of res judicata. Because the Complaint fails as a matter of law, it should be dismissed with prejudice.

## LEGAL ARGUMENT

### I. Secured Creditor's Motion to Dismiss Should be Granted.

#### *A. The Legal Standard for Motions to Dismiss Under Rule 12(b)(1)*

Rule 12(b)(1) mandates dismissal of an action where a federal court lacks subject matter jurisdiction. The existence of subject matter jurisdiction is a threshold issue. "The subject matter jurisdiction of federal courts is limited and the federal courts may exercise only that jurisdiction which Congress as prescribed." *Kokkonen v. Guardian Life Insurance Co. of Am.*, 511 U.S. 375, 377 (1994). Absent a proper

basis for subject matter jurisdiction, a case must be dismissed. *Steel Co. v. Citizens for a Better Env't.*, 523 U.S. 83, 96 (1998). A party who seeks to invoke federal jurisdiction bears the burden of proving standing. *ACLU-NJ v. Twp. of Wall*, 246 F.3d 258, 266 (3d Cir. 2001).

***B. The Legal Standard for Motions to Dismiss under Rule 12(b)(6)***

A motion to dismiss pursuant to Rule 12(b)(6) may be granted when, accepting all well-pled allegations in the Complaint as true and reviewing them in the light most favorable to the plaintiff, plaintiff is not entitled to relief. *In re. Burlington Coat Factory Sec. Litig.*, 114 F.3d 1410, 1420 (3d Cir. 1997). However, "factual allegations must be enough to raise a right to relief above a speculative level." *Bell Sussex Corp. v. Twombly*, 127 S.Ct. 1955, 1965 (2007); see also *Ashcroft v. Iqbal*, 129 S.Ct. 1937, 1949-50 (2009) (discussing plausibility standard).

When deciding a Rule 12(b)(6) motion, a court may consider the Complaint, exhibits attached to the Complaint, matters of public record, and undisputed authentic documents if the plaintiff's claims are based upon those documents. *Pension Benefit Guar. Corp. v. White Consol. Indus.*, 998 F.2d 1192, 1196 (3d Cir. 1993).

Alternatively, Secured Creditor's motion should be granted pursuant to Fed. R. Civ. P. 12(h)(3), which mandates the dismissal of this case for lack of subject matter jurisdiction.

**1. THIS COURT LACKS SUBJECT MATTER JURISDICTION PURSUANT TO RES-JUDICATA & ENTIRE CONTROVERSY DOCTRINE**

A cursory review and generous reading of the Adversary Complaint indicates that the crux of Debtor's claims is solely the standing of the Defendant to enforce the Note and Mortgage, which was expressly part of the finding in the state court Foreclosure. Such claims by Plaintiff are precluded under the doctrine of Res Judicata. Also referred to as "claim preclusion", res judicata prohibits the re-

litigation of claims that have already been adjudicated or that could and should have been raised in a previous proceeding. *In re. Target Indus., Inc.*, 328 B.R. 99, 115-116 (D.N.J. 2005); *Gibbons v. First Fidelity Bank, N.A.*, 225 B.R. 376, 387 (D.N.J. 2000).

"To determine whether the doctrine of res judicata bars a subsequent action, both New Jersey and the Federal Courts consider whether three circumstances are present: (1) was the prior decision a final judgment on the merits; (2) are the litigants the same parties or their privies; and (3) is the subsequent suit based upon the same cause of action." *U.S. v. Athlone Industries, Inc.*, 746 F.2d 977, 983 (3d Cir. 1984).

The Entire Controversy Doctrine requires litigants to assert all known, transactionally related claims in one action. This means that the Debtor was required to assert all affirmative claims and defenses related to the foreclosure, so to the extent that any claim or defense was left out of the foreclosure case by the Debtor, they are barred from making those arguments.

In the present matter, the Chancery Judge determined, based on the proofs submitted in the Foreclosure, that the foreclosing Plaintiff had proven standing to enforce the Note and the Mortgage when the Foreclosure Judgment was entered. Debtor did not pursue any subsequent remedies in the State Court. No appeal was taken of the Foreclosure Judgment. Accordingly, applying the factors identified above, it is clear that res judicata applies and Debtor cannot again try to re-litigate the underlying state court judgment or the documents supporting the judgment.

*[Pages 6 to 8 of the filing, including the Younger Doctrine argument, are not transcribed in this sample.]*

*[The Rooker-Feldman argument follows on pages 9 to 11 of the filing; its heading is not transcribed.]*

Under the abstention doctrine set forth in *Knapper v. Bankers Trust Co.*, as Trustee for Amresco Residential Securities Corp. (In re. Knapper), 407 F.3d 573, 580 (3d. Cir. 2005), citing *Walker v. Horn*, 385 F.3d 321, 329 (3d Cir. 2004), the relief requested requires determining whether the state court's decisions is wrong or voiding the state court's ruling. The Supreme Court has held that the Rooker-Feldman Doctrine applies to cases "brought by state-court losers complaining of injuries caused by state-court judgments rendered before the federal district court proceedings commenced and inviting district court reviews and rejection of those judgments." *Exxon Mobil Corp. v. Saudi Basic Industries Corp.*, 544 U.S. 280, 284 (2005). In effect, the doctrine precludes lower federal courts from exercising appellate jurisdiction over final state court judgments. *Lance v. Dennis*, 546 U.S. 549 (2006).

The Third Circuit elaborated upon these holdings and provided for a few requirements that must be met before the Rooker-Feldman Doctrine will apply: (1) the federal plaintiff lost in state court; (2) the plaintiff complains of injuries caused by the state court judgment; (3) the judgment was rendered prior to the initiation of the federal suit filed; and (4) the plaintiff is inviting the federal district court to review and reject the state court judgment. *Great Western Mining & Mineral Co. v. Fox Rothschild, LLP*, 615 F.3d 159, 166 (3d Cir. 2010), quoting *Exxon Mobil*, 544 U.S. at 284.

Applying these factors, it is clear that this Court is without subject matter jurisdiction to consider the allegations of Debtor's complaint. Debtor "lost" in the state court foreclosure action when the Foreclosure Judgment was entered. Rather than pursuing state court remedies, Debtor filed this Adversary.

The instant adversary alleges that the Foreclosing Plaintiff lacks standing to prosecute the Foreclosure. Unfortunately for Debtor, the standing issue was resolved with the entry of the Foreclosure Judgment. There is no doubt that Debtor

is attempting to undo the Foreclosure Judgment by challenging the standing of the Foreclosing Plaintiff to foreclose upon it. Accordingly, the continuation of the adversary proceeding would require improper review of the Foreclosure Judgment. Pursuant to the tenants of the Rooker-Feldman Doctrine, this action should be dismissed with prejudice.

**CONCLUSION**

For all of the foregoing reasons, LAKEVIEW LOAN SERVICING, LLC respectfully request that the Court denies the Plaintiff's Motion for Default Judgment, and grants this Motion to Dismiss with Prejudice all claims asserted against them.

Dated: April 16, 2026

Respectfully submitted,

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